

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 25-16

IWG INTERNATIONAL WOOD GROUP OF SC AND HONEST TRADING

Complainants

VERSUS

DB SCHENKER USA, INC.

Respondent

COMPLAINANTS' RESPONSE TO RESPONDENTS PROPOSED FINDINGS OF FACT

Complainants IWG International Wood Group of SC and Honest Trading International LLC hereby submit their Response to Respondent's Proposed Findings of Fact. To the extent a proposed finding is supported by the record and not material disputed, it is admitted. To the extent a proposed finding is incomplete, misleading, immaterial, or unsupported by the record, it is denied or otherwise qualified as set forth below. Any proposed finding not expressly admitted is denied.

1. On or around January 5, 2025, Big Brother USA LLC (“Big Brother”), and Complainants Honest Trading International LLC (“Honest Trading”) and IWG International Wood Group of SC (“IWG”) entered into an agreement (“Operation Agreement”) for the use of IWG’s log yard located at 255 Ridgeville Road, Ridgeville, South Carolina and related services for the transportation of said goods stored at the yard. RX0033 (Swilley Dep.) at 32:3 – 32:24; R0052RX0054 (Operation Agreement) at 1

Response: Admitted for purposes of establishing the business relationship. Denied to the extent Respondent implies the agreement is material to whether Respondent maintained just and reasonable practices.

2. As a part of the Operation Agreement, the goods that were involved in the five subject shipments at issue in the instant proceedings were purchased by Big Brother (a non-party entity which is somehow affiliated with Honest Trading), rather than IWG or Honest Trading. RX0028-RX0030, RX0032 (Swilley Dep.) at 17:17 – 18:7; 21:22 – 21:24; 27:15 – 27:17.

RESPONSE: Denied as stated. The finding oversimplifies the commercial relationships and is not material to Respondent's conduct or liability under 46 U.S.C. § 41102(c).

3. While neither Honest Trading nor Exim Logistics, LLC (“Exim”) purchased the goods, Honest Trading was named as the seller on the sales contracts for four out of the five of the subject shipments and Exim was named as the seller for the fifth shipment at issue in the instant proceedings. CX-014 (IWG-APP-A-0076); CX-050 (IWG-APP-D-0012); CX-066 (IWG-APP-E0003); RX0031-RX0032 (Swilley Dep.) at 24:14 – 24:21; 27:6 – 27:17.

Response: Admitted solely to the extent reflected in the documents. Denied to the extent Respondent suggests this fact bears on liability.

4. Craig Swilley, IWG’s principal, was unable to explain how ownership of the goods was transferred between Big Brother and Honest Trading. See RX0032 (Swilley Dep.) at 27:12 – 27:23.

Response: Denied as immaterial. Ownership issues are unrelated to Respondent's handling of shipping documents and shipment processing.

5. In the ordinary course of its business, IWG does not have any documents showing monies received or paid for the subject shipments. See RX0042-RX0043 (Swilley Dep.) at 63:23 – 64:7.

Response: Denied. Complainants produced documentary evidence supporting their claimed damages, including shipment records, invoices, customer communications, and damage calculations. See CX-072 (Appendix F).

6. IWG utilized Schenker's service for 44 shipments between 2024 and 2025, including the five at issue in the instant proceedings. RX0034 (Swilley Dep.) at 44:1 – 44:2; 44:8 – 44:17; RX0108-RX0109 (Marande Dep. 2-20-2026) at 9:19 – 10:24.

Response: Admitted.

7. IWG did not experience any issues with respect to Schenker's services for any other shipments besides the five at issue in the instant proceedings. RX0034-RX0035 (Swilley Dep.) at 44:4 – 44:6; 45:9 – 45:12; RX0108, RX0110-RX0112 (Marande Dep. 2-20-26) at 9:8 – 9:17; 11:13 – 11:16; 16:7 – 16:10; 16:25 – 17:5.

Response: Denied. The existence of successful shipments does not negate repeated failures involving the five subject shipments. See CX-016 (Appendix B), CX-030 (Appendix C), CX-052 (Appendix D), and CX-068 (Appendix E).

8. The five (5) shipments that are the subject of the instant proceeding are identified as follows:

- a. Shipment 1: Booking No. YHU25912806
- b. Shipment 2: Booking No. YHU25912853
- c. Shipment 3: Booking No. YHU25912863
- d. Shipment 4: #2154787640
- e. Shipment 5: RICFE2007400

See Complainant's Br. at 2-3.

Response: Admitted.

9. IWG had a team dedicated to reviewing each of the documents drafted by Schenker for the subject shipments. RX0036 (Swilley Dep.) at 54:17 – 54:25.

Response: Admitted in part. Denied to the extent Respondent suggests document review relieved Schenker of its responsibilities.

10. Schenker did not bill Honest Trading, IWG, or Big Brother for any demurrage for the subject shipments. RX0037 (Swilley Dep.) at 57:17 – 57:22.

Response: Admitted. Denied to the extent Respondent suggests direct billing is required to establish damages. See CX-072 (Appendix F) and CX-073 (Appendix G).

11. The buyer, the party receiving the goods, was responsible for the detention and demurrage assessed by the shipping line for the subject shipments. RX0038, RX0049 (Swilley Dep.) at 58:11 – 58:14; 89:7 – 89:15.

Response: Admitted in part. Complainants do not dispute that detention and demurrage were invoiced to the buyer. Denied to the extent Respondent suggests that the identity of the invoiced party eliminates causation or damages. The issue is whether Respondent's conduct contributed to the losses incurred.

12. For Shipment #1 (YHU25912806), the charges exceed the value of the shipment and the buyer decided to abandoned the shipment. RX0038-RX0039 (Swilley Dep.) at 58:15 – 59:4.

Response: Admitted in part. Complainants do not dispute that the shipment was ultimately abandoned. Denied to the extent Respondent implies that abandonment occurred independently of the documentation, endorsement, and release issues affecting the shipment.

13. Neither Honest Trading, IWG, nor Big Brother were assessed any charges associated with the destruction or storage of the subject shipments. These charges were assessed directly to the consignee. RX0039 (Swilley Dep.) at 59:10 – 59:15.

Response: Admitted that certain charges were invoiced to the consignee. Denied to the extent Respondent suggests Complainants suffered no damages. Charges borne by a customer may still result in offsets, reduced pricing, customer claims, business losses, and contract termination. See CX-072 (Appendix F) and CX-073 (Appendix G).

14. For Shipments # 2 and # 3 (YHU25912863 and YHU25912853), the consignee purportedly paid the demurrage and storage charges for the shipments and forwarded these invoices to Honest Trading and IWG. RX0040-RX0041 (Swilley Dep.) at 60:9 – 60:15; 60:23 – 61:2; RX0106 (Marande Dep. 2-18-26) at 59:3 – 59:8.

Response: Admitted that invoices were forwarded to Complainants. Denied to the extent Respondent suggests such charges were unrelated to the shipment delays and documentation issues alleged by Complainants. See CX-072 (Appendix F) and CX-073 (Appendix G).

15. Neither Honest Trading nor IWG agreed to pay any sums to the consignee in connection with the invoices for demurrage and storage paid for Shipments 2 and 3 (YHU25912863 and YHU25912853), but purportedly agreed to deduct the amount from future shipments. RX0040-RX0041 (Swilley Dep.) at 60:16 – 60:22; 61:3 – 61:10.

Response: Admitted in part. Any agreement concerning future shipment deductions does not negate the existence of damages. Such deductions represent an economic loss allegedly resulting from the issues affecting the subject shipments. See CX-072 (Appendix F) and CX-073 (Appendix G).

16. On or around January 20, 2025, Complainants and their buyer, BNBMG, entered into a sales contract (Contract No. 2025 – BNBMG - 0120) stipulating that the total value for the goods to be delivered was \$107,100.00. CX-014 (IWG-APP-A-0076).

Response: Admitted.

17. The sales contract (Contract No. 2025 – BNBMG - 0120) was not mandatory and BNBMG could have terminated the contract at any time. RX0048 (Swilley Dep.) at 75:1 – 75:8

Response: Denied as immaterial. The issue is why the contract was terminated.

18. Complainants and their buyer, BNBMG, mutually agreed to terminate the sales contract (Contract No. 2025 – BNBMG - 0120) and therefore, IWG did not purportedly have any future shipments to apply the deductions to. CX-073 (IWG-APP-G-0001); RX0040-RX0041, RX0050-RX0051 (Swilley Dep.) at 60:16 – 60:22; 61:3 – 61:10; 90:19 – 91:13; see also RX0113RX0116 (Marande Dep. 2-20-26) at 29:21 – 29:24; 30:13 – 30:20; 31:4 – 32:2. 4

Response: Admitted that the contract was ultimately terminated. Denied to the extent Respondent suggests the termination was unrelated to the subject shipment issues. The termination agreement itself references demurrage and terminal charges incurred as a result of delays in providing shipping documents. Accordingly, the reason for the termination remains disputed and is directly relevant to causation and damages. See CX-073 (Appendix G).

19. After providing initial instructions to Schenker regarding Shipments 1-3 (YHU25912806, YHU25912853 and YHU25912863), IWG, on behalf of its customer, requested several changes to the documentation, including the bills of lading, invoice, and packing list. See CX-030 (IWG-APP-C-0014); RX0117 (Marande Dep. 2-20-26) at 54:1 – 54:17.

Response: Admitted in part. Requested corrections do not excuse Respondent's repeated documentation and processing failures. See CX-030 (Appendix C).

20. Schenker delivered the Letter of Credit documents for Shipment 1 (YHU25912806) directly to the buyer's bank, HSBC Bank Beijing Branch, in accordance with the instructions it received from the buyer. See RX0127-RX0131; RX0118-RX0122 (Marande Dep. 2-20-26) at 57:13 – 58:16; 59:24 – 60:2; 62:5 – 62:9.

Response: Denied. Complainants contend that Respondent's handling and transmission of the documents failed to comply with the applicable transaction requirements and contributed to the delays and damages at issue. See CX-009 and CX-010 (Appendix A).

21. IWG was aware that bank courier package sent for Shipment 4 (#2154787640) on April 4, 2025, contained only the Original Bill of Lading as it was expressly stated by Schenker in via email. CX-068 (IWG-APP-E-0021).

Response: Admitted that Schenker advised IWG that the package contained only the Original Bill of Lading. Denied to the extent Respondent suggests such notice eliminates liability, causation, or damages resulting from incomplete or delayed document submissions. See CX-068 (Appendix E).

22. After providing initial instructions to Schenker regarding Shipment 4 (#2154787640), IWG requested changes to both the commercial invoice and phytosanitary certificate just two days before the subject shipment arrived at the port of discharge. CX-068 (IWG-APP-E-0013) - (IWG-APP-E-0014).

Response: Admitted in part. Such requests do not excuse delays or other documentation failures, nor do they excuse prior document handling issues. See CX-067 and CX-068 (Appendix E).

23. Schenker made all the requested changes regarding Shipment 4 (#2154787640) within the same day and mailed these documents to the bank on April 17, 2025. CX-67 (IWGAPP-E-0008) - (IWG-APP-E-0012).

Response: Admitted that certain document revisions were completed and mailed on April 17, 2025. Denied to the extent Respondent suggests that completing those revisions resolved all shipment-related issues or eliminated damages already incurred as a result of prior delays, omissions, or document handling problems. See CX-067 and CX-068 (Appendix E).

24. Several days after IWG sent their approval of the shipment documents to Schenker regarding Shipment 5 (RICFE2007400), IWG, on behalf of Big Brother, requested changes to the documentation, including the bills of lading, certificate of origin, and phytosanitary certificate. See CX-050 (IWG-APP-D-0013) – (IWG-APP-D-0015); RX0123-RX0126 (Marande Dep. 2-20-26) at 73:12 – 74:8; 76:18 – 77:7.

Response: Admitted in part. Subsequent correction requests do not relieve the Respondent of its obligations nor eliminate delays, omissions or other issues that had already occurred. See CX-050 (Appendix D).

25. Within one (1) day of confirming with IWG that the carrier, ONE, was authorized to issue a telex release for Shipment # 5 (RICFE2007400), the telex release was issued. See CX063 (IWG-APP-D-0128); RX0154-RX0156, RX0159, RX0164.

Response: Admitted in part. Denied to the extent Respondent suggests no prior delays or issues occurred. See CX-063 (Appendix D).

26. Complainants' did not produce any contract between Complainants and BNBMG which stipulates a value of \$3,595,200.00. See CX-001 – CX-0732 (IWG-APP-A-0001) – (IWGAPP-G-0002; RX0046-0047 (Swilley Dep.) at 71:24 – 72:7.

Response: Admitted that Respondent contends no contract reflecting a value of \$3,595,200 was produced in discovery. Denied to the extent Respondent suggests Complainants are limited solely to that figure or that all damages claims fail as a result. Complainants rely upon multiple categories of damages supported by documentary evidence, including demurrage, storage costs, customer deductions, shipment-related losses, and other economic damages reflected throughout the record. See CX-072 (Appendix F) and CX-073 (Appendix G).

27. IWG currently owes Schenker \$147,605.00 for services rendered by Schenker for the benefit of IWG. See RX0103.

Response: Admitted solely for purposes of argument that Respondent alleges outstanding invoices exist. Denied that the existence of any unpaid invoice has any bearing on whether Respondent maintained just and reasonable practices under 46 U.S.C. § 41102(c).

28. Mr. Swilley, IWG's principal, expressly admitted that the invoices issued prior to January 18, 2025, did not pertain to any of the subject shipments at issue. RX0044-RX0045 (Swilley Dep.) at 68:24 – 69:2.

Response: Admitted to the extent reflected in the referenced testimony. Denied to the extent Respondent uses this finding to undermine otherwise supported damages.

29. Mr. Swilley, IWG's principal, stated that the reason IWG has not paid the outstanding invoices is due to a cash flow issue and is not related to any issues with Schenker's services. RX0045 (Swilley Dep.) at 69:10 – 69:24.

Response: Admitted solely to the extent Mr. Swilley testified regarding cash flow concerns. Denied to the extent Respondent suggests nonpayment excuses or negates violations of the Shipping Act.

Dated: June 5, 2026

Respectfully submitted,

By: **Signature:**



Name: Steven Craig Swilley

Title: Owner

Company: IWG International Wood Group

Address: 255 Ridgeville Rd | Ridgeville, SC 29472

Phone: +1 (409) 504-1025

Email: cs@iwgcorp.com

Signature:

For and on behalf of
HONEST TRADING INTERNATIONAL, LLC



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Authorized Signature(s)

Name: Sam Zhong

Title: Manager

Company: Honest Trading International LLC

Address: 326 Gold Kist Road, Cloy, GA 31303

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Email: sam@bb-usa.org

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a true and correct copy of the foregoing was served on
June 5, 2026, via electronic mail, which shall notify all parties of record on this matter.

By:

A handwritten signature in blue ink, appearing to read 'Craig Swilley', is positioned above a horizontal line.

Craig Swilley